NOTE 13 - INCOME TAXES

Income before income taxes, minority interests and cumulative effect of change in accounting principle is as follows:

millions	2002	2001	2000
Domestic	$2,424	$1,125	$2,073
Foreign	29	98	150
Total	$2,453	$1,223	$2,223

The provision for income tax expense consists of:

millions	2002	2001	2000
Current			
Federal	$ 988	$300	$736
State	2	(4)	54
Foreign	39	25	15
Total	1,029	321	805
Deferred			
Federal	(167)	88	(4)
State	32	32	3
Foreign	(36)	26	27
Total	(171)	146	26
Income tax provision	$ 858	$467	$831

A reconciliation of the statutory federal income tax rate to the effective income tax rate is as follows:

	2002	2001	2000
Statutory federal rate	35.0%	35.0%	35.0%
State income taxes, net of federal tax benefit	0.9	1.5	1.7
Sears Canada deferred tax asset revaluation	(0.8)	1.9	—
Other	(0.1)	(0.2)	0.7
Effective income tax rate	35.0%	38.2%	37.4%

The major components of deferred tax assets and liabilities is as follow:

millions	2002	2001
Deferred tax assets:		
Unearned service contract income	$ 414	$ 506
Allowance for uncollectible accounts	646	454
State income taxes	61	150
Postretirement benefit liability	599	732
Minimum pension liability	417	258
Net operating loss carryforward	93	115
Special charges and impairments	90	117
Other deferred tax assets	544	580
Total deferred tax assets	2,864	2,912
Deferred tax liabilities:		
Property and equipment	293	361
Prepaid pension	172	101
LIFO	67	84
Deferred gain	236	313
Deferred revenue	356	335
Other deferred tax liabilities	257	445
Total deferred tax liabilities	1,381	1,639
Net deferred tax asset	$1,483	$1,273

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Management believes that the realization of the deferred tax assets is more likely than not, based on the expectation that the Company will generate the necessary taxable income in future periods and, accordingly, no valuation reserve has been provided. Tax benefits from loss carryforwards will expire by year-end 2009.

U.S. income and foreign withholding taxes were not provided on certain unremitted earnings of international affiliates which the Company considers to be permanent investments. The cumulative amount of unremitted income for which income taxes have not been provided totaled $429 million at December 28, 2002. If these earnings were to be remitted, taxes of $55 million would be due.

Income taxes of $918 million, $341 million and $868 million were paid in 2002, 2001 and 2000, respectively.